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Weekly Gold Wrap

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I. Gold Price Recap

For the week ending October 9 (New York close), COMEX gold futures rose 1.52% to settle at $4,220.30/oz; COMEX silver futures advanced 2.84% to $61.11/oz. Precious metals saw a broad-based rebound.

COMEX gold initially faced heavy pressure early in the week, sliding below $4,100/oz as the 10-year US Treasury yield surged to a multi-year high of 5.36%. However, a powerful Friday rally — fueled by a retreat in yields following dovish Fed comments, alongside safe-haven and bargain-hunting inflows amid geopolitical tensions—pushed the metal into positive territory for the week, though its medium-term upside remains capped by moving average resistance.

- Monday: Gold traded in a narrow range and closed nearly flat. Rising Treasury yields weighed on gold, while eurozone fragmentation concerns offered safe-haven support and underpinned prices.
- Tuesday: The US 10-year Treasury yield retreated alongside a weaker US dollar, enabling a modest gold rebound.
- Wednesday: Treasury yields surged again; the 10-year yield hit 5.36%, the highest level since April 2002. Gold fell below $4,100/oz at one point, hitting a two-month low. The release of the September FOMC minutes revealed most officials judged one additional rate hike was likely appropriate this year. Treasury yields subsequently pulled back, and gold recouped part of its losses.
- Thursday: News broke that the US Department of Defense had ordered US Central Command to prepare for large-scale military action against Iran. Markets feared an escalation in Middle East conflict that would lift inflation. Although falling Treasury yields were bullish for gold, inflation concerns capped upside and bulls failed to drive gains.

A sharp reversal occurred overnight. Trump stated on social media that the US would not launch strikes on Iran before the election, and oil shipping through the Strait of Hormuz remained uninterrupted, cooling geopolitical fears. Separately, Fed Governor Waller commented that further rate hikes may still be needed, but policy could proceed flexibly and did not require consecutive hikes at every meeting.

The 10-year Treasury yield witnessed wild intraday swings. It peaked at 5.35% and closed 5.7 bps lower at 5.23%, prompting markets to pare rate-hike odds. Gold edged higher on the day.

- Friday: With Middle East tensions further easing, gold extended its rebound and climbed near $4,200/oz.

II. Key Drivers Behind Gold's Volatility

1) U.S. Economic Indicators Drive Sharp Correction in Gold

(1) **Major U.S. economic indicators released this week and their impact on gold prices**

- **(1) University of Michigan Consumer Sentiment (Oct preliminary):**

Printed at 46.3, below consensus 47.8 and prior reading 48.1. The index fell for three consecutive months. The current economic conditions sub-index dropped to 44.7, a record low, while consumer expectations edged up to 47.3. Inflation expectations rose: 1-year expectations climbed to 4.7%, and 5－10 year long-term expectations rose to 3.5%. The data reflected a sharp deterioration in households' current economic perceptions alongside a mild recovery in long-run expectations, with both short and long-run inflation expectations moving higher. It shows stagflationary characteristics: weak economic sentiment paired with rising inflation concerns, concentrated mainly among low-income households.

- **(2) US Weekly Initial Jobless Claims:**

For the week ending Oct 3, seasonally adjusted initial claims stood at 197k, lower than forecast 200k and prior 199k. The 4-week moving average edged down to 198k from 200.5k. Initial claims stayed in a low range, signalling the labour market has not deteriorated rapidly and employment remains resilient.

- **(3) US September ISM Services PMI:**

Registered 54.9, slightly down from 55.6, staying firmly above the 50 expansion/contraction threshold, indicating ongoing expansion in the US services sector. Sub-components were mixed: the prices paid index rose sharply to 74.0 from 72.6, pointing to renewed inflation pressure in services. The employment sub-index fell to 51.1 from 53.4, showing a marked slowdown in hiring growth across services.

(2) Impact on Gold

US economic data delivered mixed signals this week. Resilient employment and rebounding services inflation acted as headwinds to gold, while weak consumer sentiment offered marginal support. Markets debated the Fed's rate path based on US economic strength, leaving gold trapped in short-term volatility.

2) Monetary Policy & Gold Market Impact

(1) Fed Developments & Official Views

- The September FOMC meeting minutes were released on Oct 7. The minutes showed committee members agreed to hold rates steady at the September meeting. Most participants judged one additional rate hike was likely appropriate this year, retaining a hawkish tilt overall.
- However, internal divergence was evident, marking a departure from the previously unified hawkish stance. Some officials favoured keeping further hikes on the table as a risk-management tool, to guard against stronger demand or supply shocks that could reignite inflation. Others argued current rates were only moderately restrictive; future policy would be entirely data-dependent with no pre-set path.
- Multiple FOMC participants noted that higher long-dated Treasury yields tighten financial conditions automatically, which may reduce the need for additional Fed rate hikes.
- Fed Governor Waller later delivered public remarks. He acknowledged further hikes may still be warranted, but argued rate hikes need not occur at every consecutive FOMC meeting, leaving monetary policy flexible.

- **Key Fed Leadership Remarks**

- Michelle Bowman, Fed Governor: There is no urgent need for an immediate rate hike. Time is needed to observe the lagged impacts of prior tightening. Inflation remains above the 2% target, and further tightening cannot be ruled out if data warrants.

- Jeffrey Schmid, President of Kansas City Fed: Inflation remains disappointing and must be brought back to the 2% target. Energy prices pose the biggest policy challenge. Even with higher long-end yields, short-term policy rates may still need to stay restrictive.

- Mary Daly, President of San Francisco Fed: AI-driven new demand could lift inflation pressures. Any further rate decision must account for evolving impacts from oil prices, tariffs and AI-related inflation.

(2) Market Watch Data

- **Prime Market Terminal Data:**

After the Sept FOMC minutes released on Oct 7, market pricing saw only modest adjustments without major repricing. Per CME FedWatch, odds of a 25bp hike at the October FOMC fell to 19.4%, with a rate hold as the base case. A 25bp hike remains priced for the December meeting. Rate-cut expectations have been pushed further out to 2027. The "higher-for-longer" rate narrative remains the dominant market theme.

(3) Impact on Gold Prices

Divergent Fed rhetoric and data-dependent policy guidance eased expectations of aggressive tightening and offered marginal support for gold. Nonetheless, the door for another hike this year remains open, and the high-rate environment continues to cap gold's upside.

3) Yields, USD & Gold Dynamics

(1) Dollar Index Behavior

DXY closed at 102.02 on Friday. The index trended higher early in the week and hit an intraday peak of 102.27 on Thursday, then fluctuated amid FOMC minutes, economic data and geopolitical headlines. Early-week pricing of economic resilience and hawkish Fed rhetoric boosted the dollar. After the release of ISM Services PMI, Michigan sentiment, jobless claims and the FOMC minutes, markets priced down October hike odds and DXY retreated from its highs. Despite the late-week pullback, US economic fundamentals remain resilient, keeping DXY in a high consolidation range.

(2) **US Treasury Yields & Gold Dynamics**

The US 10-year Treasury yield hit an intraday high of 5.36%, the highest since 2002, before settling at 5.23% on Friday. The 30-year long-end yield also surged intraday. Yields rallied sharply early in the week before a pullback triggered by Treasury auctions and easing geopolitical risks. Strong services inflation and the "higher-for-longer" narrative drove Treasury sell-offs and pushed yields higher. The US Treasury's bond buyback programme failed to offset selling pressure from fundamentals and policy expectations. After the FOMC minutes, nominal yields eased from highs, yet real rates stayed elevated with no downward trend

(3) Impact on Gold

Early in the week, hawkish Fed commentary and firm economic data lifted Treasury yields and strengthened the dollar, raising the opportunity cost of holding non-yielding gold and pressuring prices. Later, moderating policy expectations pulled yields and the dollar lower, easing downside pressure on gold. Bull-bear conflicts intensified.

4) Geopolitical Tensions & Safe-Haven Demand

(1) Geopolitical Tensions

1) US-Iran standoff & infrastructure repairs in the Middle East

US-Iran tensions persisted this week, while both sides took steps to avoid large-scale military conflict. On Oct 8, Trump publicly stated the US would not launch strikes on Iran before the midterm elections, and oil shipping through the Strait of Hormuz remained uninterrupted. Repairs on the attacked Saudi east-west crude pipeline continued. Saudi Arabia expanded ship-to-ship crude transfers at Oman's Sohar Port as an alternative export route, gradually restoring pipeline capacity and quickly erasing the extreme supply-disruption risk premium in oil prices. The G7 coordinated strategic petroleum reserve releases to further suppress oil's geopolitical premium.

2) **Wider Middle East risks: Israel-Hezbollah conflict**

Clashes between Israel and Lebanon's Hezbollah continued. Israel conducted multiple rounds of airstrikes on targets in southern Lebanon and Beirut. Local conflict temporarily lifted risk aversion and triggered brief safe-haven buying for gold. However, fighting remained confined to the Israel-Lebanon border and did not spread to core oil-producing nations, so crude supply faced no material disruption. The geopolitical premium was short-lived and quickly faded.

3) **Russia-Ukraine conflict & nuclear deterrent risks**

No major battlefield breakthrough occurred in the Russia-Ukraine war this week. Both sides relied mainly on long-range drone and missile strikes. Markets watched for shifts in Russia's nuclear deterrence posture, alongside discussions among Western nations over expanded access for Ukraine to use long-range weapons, lifting long-tail geopolitical risks. No major sudden event materialised this week, limiting near-term market impact.

4) **Crude oil supply-demand dynamics & price analysis**

Crude oil rallied then corrected sharply this week. Early-week US-Iran and Israel-Hezbollah tensions lifted geopolitical risk premiums and supported oil prices. As US-Iran tensions cooled, Saudi alternative export routes lifted crude loading volumes, and G7 SPR releases eased supply disruption fears, leading to a notable oil price drop toward week-end. Lower oil prices cooled market energy inflation expectations and indirectly reduced upward pressure on long-end Treasury yields.

(2) Impact on Gold

Geopolitical developments created two-way flows for gold this week. Local Middle East tensions triggered short-lived safe-haven buying and offered temporary support. However, easing US-Iran tensions, restored Saudi crude export routes and G7 SPR releases pushed oil lower and weakened energy-driven inflation expectations. Still, elevated real Treasury yields and a strong dollar exerted stronger bearish pressure. Safe-haven buying was muted. Gold tumbled early in the week before losses moderated amid mixed crosswinds, entering a consolidation phase.

5) Tariff Turmoil Drives Gold Swings

① **Tariff & Trade Policy Developments**

- - The second China-EU Trade and Investment Consultation was held in Beijing on Oct 8–9. Both sides issued a joint statement reaching 16 economic and trade agreements. The two parties agreed to explore tariff reduction options for selected goods under WTO rules and reached understanding on hybrid vehicle trade, while advancing reviews on price undertakings for companies in the EV anti-subsidy case.
- - The European Parliament adopted a report on EU-China relations, which is declaratory only with no legally binding force and imposes no new tariff barriers. The US and EU maintained existing trade barriers, with no major new tariff hikes introduced; only routine trade reviews were underway. China continued its ongoing anti-dumping investigation targeting EU p-nitrotoluene, with no new major trade remedy filings this week.

② **Impact on Gold Prices**

This round of China-EU talks focused on managing frictions via dialogue, without material large-scale tariff adjustments. The limited impact on global inflation and supply chains cannot drive meaningful gold price moves. Gold remained mainly driven by US macro data, Fed expectations, Treasury yields and the US dollar; trade news exerted only marginal influence.

6) Gold Market Observation

1. World Gold Council |Central Bank Gold Statistics: Central banks continue summer spree in August

① **Overview of global central bank buying**

Per the World Gold Council's August central bank gold statistics, global central banks sustained summer buying momentum. Reported net purchases totalled 39 tonnes in August, bringing year-to-date net buying to 170 tonnes. The long-term trend of reserve diversification and gold accumulation remains intact.

Historical data for 2016–2025 shows seasonal patterns: central bank buying tends to pick up in June and September–October. Monthly fluctuations mostly reflect operational schedules and domestic liquidity requirements rather than a shift in long-term reserve strategy.

② **Breakdown of central bank flows**

- - Buyers: The PBoC extended its unbroken buying streak to 22 months, adding 20 tonnes in August and 80 tonnes YTD. Its official gold holdings stand at roughly 2,387 tonnes, accounting for 9% of total foreign reserves. Poland remains the largest buyer this year, purchasing 8 tonnes in August and 98 tonnes YTD to deliver its long-term gold accumulation plan. Uzbekistan, Kazakhstan, Czech Republic, Bolivia and Ghana also added gold. The Czech National Bank has bought gold for 42 consecutive months. Türkiye ended three straight months of net sales and purchased 3 tonnes in August, easing near-term selling pressure.
- **- Sellers:** Russia and Jordan continued to offload gold in August. Russia sold 6 tonnes in August and 56 tonnes YTD, the main seller this month. Jordan sold 3 tonnes in August.
- Overall, central bank actions diverged, yet most emerging market central banks maintained long-term gold allocations, sustaining the global net buying trend.

③ **New trends in gold reserve management**

Central banks are evolving gold reserve management beyond simple accumulation, actively optimising storage locations and liquidity. On September 2, De Nederlandsche Bank (DNB) announced plans to transfer 86 tonnes of gold from vaults in New York and Ottawa to London, aiming to improve liquidity and tradability of reserve gold.

Multiple central banks have relocated gold reserves in recent years. Banque de France carried out similar optimisation in 2025. These moves reduce counterparty and custody risks and reinforce gold's strategic role in foreign reserve portfolios.

④ **Impact on Gold**

Sustained long-term central bank buying provides a solid floor for gold prices and offsets downside risks from macro headwinds, reinforcing gold's role as a long-term store of value and portfolio diversifier. However, central bank purchases are strategic long-term allocations with moderate monthly volumes. They cannot trigger explosive short-term buying or dominate near-term price action.

Gold's weekly performance was primarily driven by US macroeconomic releases, Fed rate expectations, Treasury yields and DXY. Central bank buying acts only as a long-term supportive factor with limited near-term marginal impact.

III. Outlook & Key Catalysts

- **Next Week's Focus:**

Oct 13 (Tue): US Sep Import Price Index, Fed speakers

Oct 14 (Wed): US Sep CPI, EIA crude inventories

Oct 15 (Thu): US Sep PPI, Fed Beige Book, weekly initial jobless claims

Oct 16 (Fri): US Sep Retail Sales, U. Michigan Consumer Sentiment & Inflation Expectations (prelim), US Import/Export Price Index

Core Outlook: Next week is a critical inflation-focused week. Markets will watch US Sep CPI, PPI and retail sales to gauge inflation stickiness and consumer resilience. Data will reset Fed hike odds and the higher-for-longer narrative, moving Treasury yields and the US dollar as the main drivers for gold. Secondary indicators will only cause short, minor price fluctuations. The Fed Beige Book will provide additional economic insights.

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